What is a Contra Entry

In simple words, if the following transactions take place, it is a contra entry.

From Bank account to Cash account – This means when you are withdrawing money from bank such as **ATM withdrawal** for daily expenses or withdrawing big amount of cash for business or personal purposes.

The accounting entry for this transaction will be a contra entry.

From Cash account to Bank Account- This is the exact opposite of the above transaction. When you **deposit money in bank,** its accounting entry will be a contra entry.

From Bank account to another Bank account – It is common to have more than one bank account in business or for personal use. When you transfer your money from one bank account to another bank account, its accounting entry will be a contra entry.

From Cash account to another Cash account – This happened in old times where there were no commercial banks or proper banking channels and people usually did all the business in cash. In that old times, some businesses have different branches.

When cash was transferred from one branch to another that will be a contra entry for accounting purposes.

Although now a days, it is not prevalent and almost all business dealings are done through banking channels.

Contra: - F4

Date	**Particulars**	**Cheque no**	**Amount**
8/4	Withdraw cash from State bank	25641	5000
15/5	Deposited cash in state bank		1000
17/5	Deposited in Maharashtra Bank from ICICI Bank	78102	5000
20/6	Withdrawn from maharashtra bank and deposited in state bank	79581	10000
22/6	Deposited cash in IcIcI bank		4000
7/7	Cash was transferred from state bank to ICICI bank	88801	7000

Maharashtra and ICICI bank has opening balance of RS 4,00,000 and 5,00,000 respectively

PASS FOLLOWING ENTRIES:

1. Rs 20000 deposited in state Bank on 17/5
2. Rs 5600 withdrawn from state bank on 20/6
3. Deposited Rs 75000 in state bank from HSBC bank. Opening balance in HSBC bank is RS 700000 on 22/6
4. Cash was withdrawn from HSBC bank on 1/7 Rs 100000
5. Deposited amount of Rs 8000 in HSBC bank on 5/7
6. Withdraw amount from state bank Rs 5000 and deposited in HSBC bank on 7/7

To Check /delete or modify:
Display:- Statement of accounts-Statistics -contra